OPPORTUNITY MANAGEMENT
AUDIT PROGRAM #60-10-00

The release of this audit program to parties external to IBM requires the written approval of the Chief Auditor.

This program is intended as a guide for assessing risk management in this process through the performance of an audit or a similar engagement. Risk management is the process to identify, manage, and control potential events in order to provide reasonable assurance related to the achievement of IBM's business and control objectives. IBM's control objectives fall into five broad categories:

1. compliance with external laws and regulations, as well as IBM policies and procedures
2. accomplishment of business objectives
3. reliable information for financial reporting and decision making
4. efficient operations, and
5. safeguarding both intellectual and physical assets.

The control assessment questions are intended to address process objectives from the categories above and the risks to achieving those objectives. Objectives and risks in the actual process under review may differ based on organizational, operational, regulatory, and economic factors. As such, individuals performing the engagement must formulate a test strategy based on risks relative to the actual process under review, regardless of whether the risks are identified within this program.

DATE CHANGED	SECTION #	SUBTITLE IN SECTION	CHANGED BY (NAME)	COMMENTS
December 2025	Process and Objective	Planning – Reference Material	Mee Ching Lee	Replaced the outdated link for IBM Client Engagement Model and Sales Management Process. Changed SOD KCO 707 to CI FIN 182 Appendix C - Separation of Duties Replaced CIO 122. IBM Worldwide Records Management with DG 101 Data Governance Replaced MKT 115. The processing of Business Personal Information with MCC Privacy
-	Process and Objective	Planning – Reference Material	Mee Ching Lee	Edited the testing approach to validate controls in place for information collected and shared during the opportunity management process.
September 2025	Planning	Audit Program Risk Alignment	CA&AS Ops	Changes to audit risk levels from recent revalidation
December 9, 2024	All	All	Misook Cha	Created a new audit program which combined two legacy audit programs, Digital Operation and Opportunity Management.

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PROCESS AND OBJECTIVE

The opportunity management process covers the opportunity identification and qualification in Technology Sales to provide assurance that IBM can capture them to offer to customer whatever is needed by the demand that can be satisfied through IBM products. This process contributes to revenue objectives by:

- Efficiently capturing client responses through IBM marketing, Sales, and Web initiatives
- Managing the Marketing responses by nurturing them into validated leads
- Tightening linkages to Sales organizations for opportunity passing, acceptance and progressing.

The IBM sales methodology is called as the IBM Client Engagement Model (the Model), which provides a single sales approach across the Technology sales team for how IBM align around the client's needs to support their success as we further advance and drive our "client first" culture. At the highest level, there are three distinct phases**: Plan, Progress, and Deliver.**

Opportunity management audit mainly cover Engage/Qualify steps in Progress Phase. Below is the overview of the steps in the Model.

1. **Plan Phase:** In the Plan phase, IBM and the client work together to define the business goals and desired outcomes. This becomes the basis for developing a plan that addresses the client's needs by defining an actionable roadmap for achieving these goals. In this phase, Sales creates a unique account, territory, or Business Partner plan by defining goals, strategies, and tactics (including knowledge and skills required) to successfully meet or exceed the client's desired outcomes.

2. **Progress Phase:** It is the execution of the account plan with the focus on meeting the client needs through our technology. Equally as important in this phase is identifying those clients or needs that are not a good fit due to budget, priority, or other factors. This allows the team to focus on those prospects with a higher likelihood of success. Below are the six sales stages and its definition to manage opportunities in Sales Cloud.

   - **Engage:** Engage with clients and prospects following the roadmap developed in the planning phase to gain agreement on the approach.
   - **Qualify:** Determine which opportunities are worth investing in and qualify out those which are not.
   - **Design:** Co-create with the client to demonstrate that we can 'uniquely' achieve or exceed their strategic business objective.
   - **Propose:** Gain agreement and acceptance from the client on the solution. Jointly develop a plan for successful implementation with a targeted timeline, potential business value, and financial investment required.
   - **Negotiate:** Reach agreement on terms and conditions, final scope of work, timing, and expected outcomes.
   - **Closing:** Ensure all roadblocks are cleared in the purchasing process and begin transition to CSM where applicable.

PROCESS AND OBJECTIVE (Continued)

3. **Delivery Phase:** IBM focused on delivering value on the client expectations identified in the planning phase. This means successful implementation, deployment, adoption to ensure the client can quantify the business value of their purchase decision. Client retention and loyalty are the levers that will provide us additional opportunities to scale and expand which results in ongoing renewals as we identify new opportunities. There are three steps as below.

   - **Closed:** Receive signed agreements and ensure successful implementation kick-off.
   - **Confirm Value:** Confirm with client the delivery of a successful implementation and expected outcomes; document business value achieved.
   - **Expand:** Expand IBM footprint by continuing to deliver client value and exceptional client experience to result in a recurring revenue.

   In the Plan and initial stage of Progress, IBM need to identify potential opportunities. Opportunity Identification (OI) have two sales motions: Inbound Sales and Outbound Sales. Once opportunities are identified (and engaged) and qualified by Marketing or Inbound Sales (Inbound Sales), they are passed to the Ecosystem or Field Sales to progress and close. Field Sales also directly approach clients based on the clients list given as their quota (Outbound Sales).

   - **Inbound:** Clients and prospects contact us. The engage digitally with IBM to learn about our products and platforms.
   - **Outbound:** IBM proactively contact clients and prospects.

PLANNING: Audit Program Risk Alignment

Opportunity Management

Defined Risk Area	Audit Risk Level	Key Control Question	Test Number
Opportunity Identification and Validation	Medium	Opportunity Management and Offering Validation, and Key Measurements	OM001.P, OM002.S
Data Privacy, Access Management, and Separation of Duties	Medium	Data Privacy, Access Management, and Separation of Duties	AS001.S
Financial Management	Medium	Financial Management	FM001.S

PLANNING: Data Analysis

Data analysis should be a part of every engagement where data is available in databases or data warehouses that can be accessed through query programs. This concept enhances the risk-based auditing approach, makes the audit process more efficient, and increases the productivity of the audit team. When the audit team does not have the skills required to perform these tasks, assistance should be sought from the Technology team.

All data used for analysis must be reconciled to an independent source so that the auditor has confidence that the universe is complete.

The Data Analysis engagement procedures in the Audit Manual (link internal to CA&AS members only) provide further suggestions.

The table below summarizes the key data that should be analyzed to identify areas of focus for a Opportunity Management audit:

Data to be Analyzed	**Analysis to be Performed**	**Possible Anomalies**	**Concern**
Overall Business performance Metrics and Management Reporting (including operational performance measures)	Review the monthly/quarterly management information reports used to monitor key financial and operational objectives and performance during the period. Review compliance testing results.	• Management reporting may not be available • May highlight low performing opportunity leads (OL) for review • May provide detailed information and/or root cause analysis on low performing OLs • Compliance testing may highlight missing mandatories, billing issues, asset management issues, etc.	• Overall business health • Potential process weaknesses • Key metrics may be missed • Out of line situations not addressed
Duplicate Records	By using data mining, perform quick checks for reasonableness of the opportunities' universe available for testing.	• Duplicate opportunities in Sales Cloud for the same customer and solution are registered.	• Inaccurate measurements and compensation payment
Risk Evaluations	Review the nature of any risk evaluations raised by the business during the audit period and/or any pending approval.	• Required approvals may not have been obtained • Committed deadlines may not have been met	• Potential uncompliant situations and/or process weaknesses

PLANNING: Data Analysis (Continued)

Data to be Analyzed	**Analysis to be Performed**	**Possible Anomalies**	**Concern**
Opportunity management and offering management	Review the opportunity identification backup to confirm timeliness of processing, offering validations, interaction with the brand Sales and BPs and applicable approvals.	• Ineffective process to capture and nurture potential opportunity identifications	• Missed revenue opportunities

PLANNING: Reference Material

Please see the sections below for a listing of all applicable Corporate Instructions, Policy Memos, and Procedures Manuals:

- IBM Client Engagement Model
  https://ibm.seismic.com/apps/doccenter/5477419a-9474-4c51-94af-b442e9169fab/doc/%252Fdd98c5a3df-6b7c-1d77-6f07-d12e63954c78%252FdfOTRiYmU4NTQtNWY4NC03Y2QyLWZjYWUtOGIxYmFmZjkyZThk%252CPT0%253D%252CUm91bmR1cCBvciBzdW1tYXJ5%252Flf8978b207-3c4a-4147-b1f5-d7e8c190680b/grid/?anchorId=58ffa681-9056-4b7e-8e03-c2ef4432a72c

- Sales Management Process
  https://w3.ibm.com/w3publisher/emea-technology-sales-management-hw-sw/httpsibmboxcomscxd7um9sihjwc2404r

- FIN182. Management Self-Assessment of Control
  https://w3.ibm.com/w3publisher/corporate-documents/fin/fin-182

- CI FIN 182 Appendix C - Separation of Duties
  https://w3.ibm.com/w3publisher/financebc/ibm-framework/ci-fin-182-appendix-c

- Corporate Policy 103. Business Conduct and Ethics
  https://w3.ibm.com/w3publisher/corporate-documents/corporate-directives/corporate-policies/cp-103

- DG 101 Data Governance
  https://w3.ibm.com/ibm/corporate-documents/cdo/dg101

- MCC Privacy
  https://w3.ibm.com/w3publisher/mcc-dait

- Social Computing Guidelines
  https://w3.ibm.com/hr/web/empdata/social_computing_guidelines

- IT Security Standard (ITSS)
  https://pages.github.ibm.com/ciso-psg/main/standards/itss.html

PLANNING: Fraud Template

Fraud is any intentional act or omission designed to deceive others and resulting in the victim suffering a loss and/or the perpetrator achieving a gain. Fraud can be categorized into fraudulent financial reporting, misappropriation of assets, and improper or unauthorized expenditures.

*This fraud template was prepared using historical information from past substantiated investigations in Overview areas, that may be applicable to Opportunity Management. It may not cover all risks inherent to this program.

Description of Fraud Risk	**Typical Controls that should Detect the Fraud Risk**	**Testing Approach**
Opportunity management	Opportunities were handled by one employee, and related incentives are not duplicated.	Test to verify that the opportunity management system has been designed in a way that employees are owners of their assigned opportunities, and the same were not manipulated to duplicate or inflate quota assignments.
Misrepresentation	Information used must be valid and accurate.	This is an attribute in many testing. The auditor verifies if the supporting documentation is valid, accurate, opportune, and approved/ reviewed by manager. Use of available analytics tools.
Conflict of interests	Activities performed by employees should be assessed by management to detect possible conflicts of interests.	Risks related to SOD have been periodically (at least annually) assessed and documented by management. If conflicts were identified, actions were properly taken to mitigate. Focus at least on update and approve access.
Falsification of records	Documentation accuracy.	Supporting documentation should be valid, accurate, and approved at the time of the transaction posting.
Exposure of IBM and customer information to unauthorized access or use.	Information was classified and protected as designed.	Validate that controls are in place to ensure information collected and shared during the opportunity management process for sensitive accounts. (e.g., government accounts) is properly classified, protected, and accessed only by authorized personnel.
Use of unapproved systems	The use of non-IBM legacy systems and tools has been approved by management, and controls were implemented to mitigate risks.	When non-IBM legacy systems are used, conflict of interest testing should be done, as well as a review of documented discussions with owner organizations to understand how risks were mitigated. Test accordingly.

Note: The probability and impact will vary depending on the organization/business unit that is being audited.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 1. Opportunity Management and Offering Validation

Objective:
To ensure there is an effective process implemented that
- existing opportunity portfolio reflected the business environment and the data was accurate.
- follow-up with prospects were executed and qualified in a timely manner, and opportunities are identified/documented expeditiously.
- identified opportunities were reviewed and concluded – invest by IBM, share the deal with BP, or walk-away in a timely manner.
- the accuracy of key measurements applied when determining compensation needs to be confirmed.

Risk/Exposure:
An ineffective process in place to monitor offerings and opportunities could lead to missed revenue opportunities, incorrect decision making, as well as incorrect compensation.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 1. Opportunity Management and Offering Validation
Primary Test: Engage and Qualify Sales Process – General (OM001.P)

Objective:
There is a process implemented to ensure offerings are monitored and qualified opportunities are passed to relevant Sales (IBM/BP) to achieve client's immediate needs and long-term technology strategy.

Approach:
IBM's Customer Relationship Management tools (CRM) are the tools used by IBM Sellers and Managers for opportunity management and forecasting. Depending on the geo reviewed, these tools may be Sales Cloud, Gaia, and Atlas, among others*. CRM tools allow sharing of client, contact, and opportunity information among sellers. In addition, CRM tools streamline core capabilities; then, integrates cadence, Notes; adds collaboration, mobility, analytics, and forecasting.

*Note: The rest of this audit program was built based on IBM Sales Cloud (ISC) as reference of CRM tool. However, depending on the geography tested, please consider and refer the local CRM tool used when testing. Different stages are similarly managed throughout these tools, so testing should remain the same. In case of any significant difference noted, please adjust the testing accordingly.

1. Select active opportunities and closed opportunities to ensure that the opportunity data are maintained based on IBM Client's Engagement Model.

Engage Stage
Based on the various research and work*, evaluate the health of opportunities to decide if IBM should **invest, share the deal with BP, or walk-away timely and properly**.

- IBM Inbound Digital Sales team receives the Lead from Marketing and qualifies them.
- Marketing obtains the Lead from marketing events and passes them to Field Sales.
- Field Sales engages potential opportunities based on the current client lists in their quota.

**Based on IBM Client Engagement Model, there are multiple method to do a research and work. For the detail, please refer to the reference material.*

From IBM's marketing channel (i.e. events, webinars, trails/demos, contact forms, inbound call, e-mail, or live chat), IBM collect immediate client interests (CI) and score them. For the high scored CI, IBM Sales Cloud assign it to the relevant focal people accordingly – Sales Development Representative (SDR), Technology Brand Sales Specialist (BSS), Brand Partner Specialist (BPS)-T, ISV Seller (IPS) or Service Seller (SPS). Each focal will qualify the CI and qualify them based on BANT and pass them to Sales.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 1. Opportunity Management and Offering Validation
Primary Test: Engage and Qualify Sales Process – General (OM001.P)
(Continued)

Qualify Stage
When IBM decide to "invest", Sales need to perform further steps to quality the opportunities based on below steps.

1. Performed customer validation via DPL, Export Regulation Check, Credit check process.
2. Performed through and sufficient analysis and review with relevant managers (i.e., Coaching) to qualify the opportunities.
   a) Uncover challenges, needs, performance improvements, compelling reason to act (CRA), business impact of current state to further stages.
   b) Uncover/co-create decision & buy process, budget owner & identify potential roadblocks / objections to mitigate.
   c) Document client challenges, objectives, CRA, timeline in Summary of Understanding; add future state, next steps; ask client to revise and confirm alignment.
   d) Uncover stakeholders' motivations, incentives, preferences and use Relationship Barometer to assess influence, power and work with team to define strategy.
   e) Identify client options, eval process & define competitive strategy including future state with differentiators that are defensible & valuable to client.
   f) Assess opportunity health; if client can answer 'why Invest?' & if our team believes it's worth the pursuit; identify Go-To-Market Strategy.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 1. Opportunity Management and Offering Validation
Primary Test: Engage and Qualify Sales Process – Inbound Digital Sales (OM001.P)

Objective:
There is a documented process implemented to ensure offerings are properly monitored, and opportunities timely identified, tracked, and registered in systems for Inbound Digital Sales.

Approach:
SDR identifies opportunities associated with all products across brands. The opportunities identified are compensated from a pool of funds after lead pass/acceptance.

Opportunity targets are given to the SDR organization by Response Lead Management (RLM) Center of Excellence (CoE). SDRs are ranked based on Key Measurement quarterly results and compensation is calculated using the Performance Pool Plan concept, where the final decision of amount paid is from management.

Select risk-based samples of Sales Development opportunities after lead pass/acceptance where an Opportunity Owner (OO) has been assigned from different brands to verify the following items are met:

Valid Lead Creation

First line managers are responsible for ensuring all validated leads created by their staffs meet BANT and CR and details are properly documented in Sales Cloud:

B - Budget - understand the client budget process and/or assign a $$ value
A - Authority - the client's ultimate decision maker?
N - Need - what is driving this initiative
T - Timing - when does it need to be implemented?
CR - Customer Reason

1. Did Sales Cloud (SC) contain all supporting documentation for the opportunity - budget, authorization, need, time frame (BANT)?

2. Was the compelling reason to act documented?

3. If the original revenue was modified (either by the SDR or the OO) in SC after an opportunity owner has been assigned, was there documented process/evidence where the SDR was allowed to update revenue (opportunity ownership exception), or a valid justification which would support the updated revenue amount?

4. Confirm whether the final offering value in SC equals to the contractual value as per the signed contract. A difference between these two values may affect a portion of the incentive's commissions. In order to fulfil this test, tester will need to request signed contractual value from Q2C.

Warm Transfer

Ensure SDR documented warm transfers in Sales Cloud:

WT 1 – BANT/CR
WT 2 – Warm Transfer to Opportunity Owner (OO)
WT 3 – Warm Transfer to introduce the OO to the Prospect

1. Was the warm transfer documented in Sales Cloud for opportunity transfer to Field Sales or Business Partner, if applicable (Evidence to support WT step 1, 2, and 3 should be documented to substantiate the WT thoroughness)?

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 1. Opportunity Management and Offering Validation
Primary Test: Engage and Qualify Sales Process – Inbound Digital Sales (OM001.P)
(Continued)

Opportunity Ownership

Confirm if there is a management system in place to monitor/prevent a SDR from making changes after lead pass/acceptance i.e., Sales Stage, Won/Lost, or revenue amounts.

- Confirm execution of management system through cadence to ensure SDR has not made any change to values in opportunities after lead pass/acceptance.
- Confirm execution of management system through cadence to ensure completion of BANT detail in opportunity records.
- Confirm execution of management system through cadence to ensure completion of accepted / rejected Sales Acceptance Lead (SAL) status.

Trusted Sources for Leads

1. SDR Job Code + Campaign code – validate that they are accurate, current, and appropriate.

2. Validate whether all leads flagged to SDRs for validation were actioned. Obtain a list of leads that were assigned to the SDR organization (for example, from marketing) and compare them to the list of cases that reached SDRs*. This would help to determine whether something was missed and did not reach the SDR, as well as to validate if the SDR actioned upon all leads submitted to them.

3. Confirm if there are any marketing offerings that were handled outside of Sales Cloud (SC) Leads. If so, business is to provide evidence of input received and SDRs' execution of offerings*.

*Note: Leads from marketing may be routed via SC; however, there may be some circumstances where marketing also submits leads via different media (for example, mail).

Review source codes used in opportunities (after lead pass/acceptance) where an opportunity owner has been assigned. Obtain a list of source codes from marketing to compare against the source codes used within the opportunity records to ensure they are valid. Review nature of the opportunity to confirm that the opportunity is reflective of the source code.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 1. Opportunity Management and Offering Validation
Primary Test: Engage and Qualify Sales Process – Outbound Sales (OM001.P)

Objective:
To ensure if opportunities are maintained throughout their life cycle. To ensure opportunities are managed throughout their life cycle.

Approach:

1. Select active opportunities and closed opportunities to ensure that the opportunity data are maintained based on IBM Client's Engagement Model.

***Note: For Outbound Sales, there is no pre-defined structured process identifying opportunities. Based on current client list given as a quota, Sales approaches client (Outbound sales) to explore potential opportunities.**

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 1. Opportunity Management and Offering Validation
Primary Test: Key Measurements (OM002.S)

Objective:
To confirm whether key measurements were properly calculated and applied when determining compensation.

Approach:
Obtain measurement reports, for a period to be determined by the reviewer and ensure they are consistent with defined world-wide measurements requirement.

Select risk-based samples of measurement results to confirm whether opportunities were accurately measured and reported (if applicable).

Key Measurements for Inbound Sales:

- Inbound Conversion Rate = SQLs created in the quarter / Qualified CIs received in the quarter
- Yield Rate = Week 15 wins / Week 1 Qualifier
- Outbound Conversion Rate = SQLs created in the quarter / Business Development Contacts* Added for Outbound Cadence in the quarter
- Sales Acceptance Lead Rate = SQL accepted by the Sales / Lead submitted to Sales

Remark:

- Except for Sales acceptance lead rate, others are "count" based rates.
- Business Development Contacts added for Outbound Cadence = Number of contacts added by the SDR to the Outbound Salesloft cadences.
- For outbound sales, it is measured against closed deals and transactional revenue.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 2. Data Privacy, Access Management, and Separation of Duties

Objective:
To verify that a process is in place to safeguard data that is reviewed or stored as part of SDR/DDS activity, including confidential business information, personal information (PI), and sensitive personal information (SPI)records.

To ensure that proper separation of duties and access to the required systems is controlled in a timely manner, and to prevent unauthorized access to applications and information. Appropriate management approvals should be granted and documented according to business need. Ensure adherence to Information Technology Security Standards and ITCS 300, Computer Security and Use Guidelines.

Risk/Exposure:
Persons may gain access to the application and its resources enabling them to enter unauthorized transactions, get access to privileged and confidential IBM information, or to make unauthorized changes to data or programs. This could result in financial loss and competitive data exposure to IBM.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 2. Data Privacy, Access Management, and Separation of Duties
Primary Test: Data Privacy and Access Management (AS001.S)

Objective:
Privacy laws impose requirements on how IBM and its Clients process Personal Information (PI). The Global Privacy Control Assessment Questions called GPA are composed with two key areas of the business to help address compliance with these various high-level laws.

Verify that management controls and authorization of all access to the application and data can be demonstrated with management awareness. Verify that removal of such access is processed when there is no longer a business justification (e.g., at separation or change of assignment).

Approach:

Data Privacy
Review the Data Privacy responses provided from the Initial Data Request. Determine if IBM is Controller or Processor of PI/SPI data in the process.

- **IBM as Controller:** If IBM is Controller, request a risk-based sample of Global Privacy Assessments for the processes and/or assets. Complete the testing based on the audit program: "Privacy – IBM as a Controller"

- **IBM as Processor:** If IBM is Processor, select a sample of products/offerings/services provided for the in-scope activities. Complete the testing from the following link: "Privacy – IBM as a Processor"

- **IBM as both Controller and Processor:** Test either IBM as Controller or Processor, do not test both. Consider the volume and sensitivity of the controller and processor data and select the higher risk.

Access Management
Review the processes for user access administration to ensure the process included the following:
- Clear business need criteria to be granted access to a system, application, tool, etc. (Separation of Duties <SOD> assessment should provide guidance individual's access level required; however, any individuals that were granted accesses outside the scopes defined in the SOD assessment, will need additional evidence to support the business need to keep such access level). Procedures for the annual revalidation of users' continued business need (CBN).
- Supporting evidence (including appropriate approval) from manager overseeing continued business need recertification.
- Evidence for access removal when leaving IBM or the sales organization (as per IBM's IT security standard, accesses should be removed when there's no longer a business need for employee or contractor to have the access and must be removed within 24 hours of termination of employment for an IBM employee or contractor. Where IBM does not control access, notify the entity controlling access within 24 hours).*

  *Note: active access level testing should be reviewed along with SOD. Access removal should be tested separately.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 2. Data Privacy, Access Management, and Separation of Duties
Primary Test: Separation of Duties (AS001.S)

Objective:
To determine if any individuals have incompatible responsibilities that would allow the system of internal controls to be circumvented.

To determine if appropriate separation of duties exist to ensure that capabilities to change, add, or delete data is strictly controlled.

To ensure that usage of these capabilities is restricted and approved by management.

Approach:
- Request an organization chart listing the responsibilities of each employee to assist in determining if any separation of duties exposures exist.
- Review for critical processing transactions and access control listings to ensure proper separation of duties exist and access has been properly authorized. This will help you to identify whether employees were granted access to systems, tool, etc. needed for their role tasks or not.
- Obtain a copy of the organization's SOD assessment and its approval. Were all tasks identified included in the SOD matrix? Did the access list provided match with the accesses needed as per the SOD matrix description? In case some discrepancies are identified (for example more accesses granted than the required ones or different access level than required), request evidence of the business need to maintain such access without being included in the SOD matrix (not required for the role’s execution).
- Review application system formulas/ macros to identify transaction conflicts.
- If conflicts have been identified or exist in either of the above, review secondary controls or risk acceptances defined as appropriate. In addition, if conflicts exist, the auditor must decide if transactions processed by the individuals with conflicts should be tested.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 3. Financial Management

Objective:
To ensure that expenses and costs are fully recovered and appropriately allocated.

Risk/Exposure:
Incorrect allocation and monitoring of expenses and costs could result in increased expense, financial misstatements and loss, and cash flow impact.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 4. Financial Management
Primary Test: Financial Management (FM001.S)

Objective:
To confirm if interlock with business units and other support organizations was being handled properly, to ensure expense allocation and cost recoveries were accurately and timely performed.

Approach:
If the opportunity management services are managed by the cost recovery entity as an outsourced selling activity delegated to them, validate if the expense and cost pool are managed properly. For those cases, they are found and supported by intercompany agreements and DOUs that defines their scope of work and responsibilities, as well as the costs associated for their services.

Obtain a list of ICAs and DOUs subscribed by the organization and other brands and staff areas to confirm the following:

- Intercompany agreements (ICAs) were in place and timely approved.
- ICAs expenses and costs recovering were timely performed and properly allocated.
- Documents of understanding (DOU) were in place, timely approved and described business needs.

Obtain a pull from ledger for the expense structure for inbound sales and commercial, during the audit period exploded by Maj, Min, Submin and Leru (Department Code). Also obtain a description of each Leru, corresponding employees under the Leru, allocation table run at each month-end. This is to validate the following:

- Reasonability, integrity, and accuracy of department expenses.
- Reasonability of the over/under expense recovery or charges.